

In the personal finance community this investing portfolio is regarded as the gold standard of how to allocate assets if investors in training are unsure of where to begin. It's an easy-to-understand and popular risk management tool.

Index funds or ETFs (remember the baskets that invest into a list like the S&P 500 or the FTSE 100) are an integral part of the lazy investor strategy. It works by holding a total of three ETFs.

I like to think of it as picking a group of friends; each fund represents a type of person you want in your friendship group. You adjust the percentage of each friend type you'd prefer to suit your personal needs, and this is going to change over time. The people you like to hang out with at 15 aren't always the people you want to have at 20 or 30 as you grow and develop.

The three funds that a lazy portfolio has are:

1. a broad US market index ETF
2. a broad international market index ETF
3. a bond ETF.

Why a broad US market index fund?

This is funds such as the Vanguard 500 Index Fund ETF (VOO) or Vanguard Total Stock Market Index Fund ETF (VTI). They allow investors to have access to either the top 500 companies in the US or the entire US stock market respectively.

Why the US market? It holds some of the world's largest companies, holding 60.5 per cent of the market share of the total world equity market. You can replace this with the index in your home country such as the FTSE 100 in the UK, the ASX 200 in Australia or the NIFTY 100 in India. But with the US market, you get more exposure to some of the biggest brands on the planet. It's like having a friend that's a big shot — they're popular and they're not too risky to be around, but sometimes they do get overly confident so they aren't entirely free of risk.